16th FINANCE COMMISSION





EduTap

www.edutap.in hello@edutap.co.in +91 81462-07241

Subscribe to our

EduTap

YouTube Channel

Join our Telegram Channel

www.edutap.co.in

+91 8146207241

hello@edutap.co.in

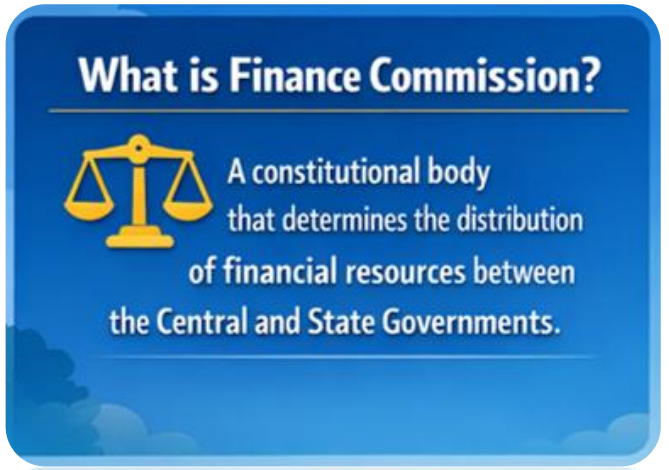
FINANCE COMMISSION

EduTap

About the Finance Commission

- **Article 280** of the Constitution provides for a FC.
- It is **constituted by the President** every 5th year or at such earlier time as he considers necessary.
- The Finance Commission consists of a chairman and four other members to be appointed by the President. **The appointment is done under Article 280**
- The recommendations made by the Finance Commission are of an advisory nature only and therefore not binding upon the government.

The Finance Commission is a constitutional body formed by the President of India to give suggestions on centre-state financial relations



Article 280 in Constitution of India

280. Finance Commission

(1) The President shall, within two years from the commencement of this Constitution and thereafter at the expiration of every fifth year or at such earlier, time as the President considers necessary, by order constitute a Finance Commission which shall consist of a Chairman and four other members to be appointed by the President.

16th Finance Commission (FC)

EduTap

Government appoints Members of the Sixteenth Finance Commission

Posted On: 31 JAN 2024 10:12AM by PIB Delhi

The Sixteenth Finance Commission was constituted on 31.12.2023 with Shri Arvind Panagariya, former Vice-Chairman, NITI Aayog as its Chairman.

Now the following members are appointed to the Commission with the approval of the President of India.



Dr. Arvind Panagariya

Chairman of the 16th Finance Commission of India



Smt. Annie George Mathew

Full-time Member of the Sixteenth Finance Commission & Former Special Secretary-Department of Expenditure, Ministry of Finance



Dr. Manoj Panda

Full-time Member of the Sixteenth Finance Commission & Former Director of the Institute of Economic Growth, Delhi and the Centre for Economic and Social Studies (CESS), Hyderabad



Mr T Rabi Sankar

Part time Member of Sixteenth Finance Commission and Deputy Governor, Reserve Bank of India



Dr. Soumya Kanti Ghosh

Group Chief Economic Adviser of SBI

FINANCE COMMISSION

EduTap

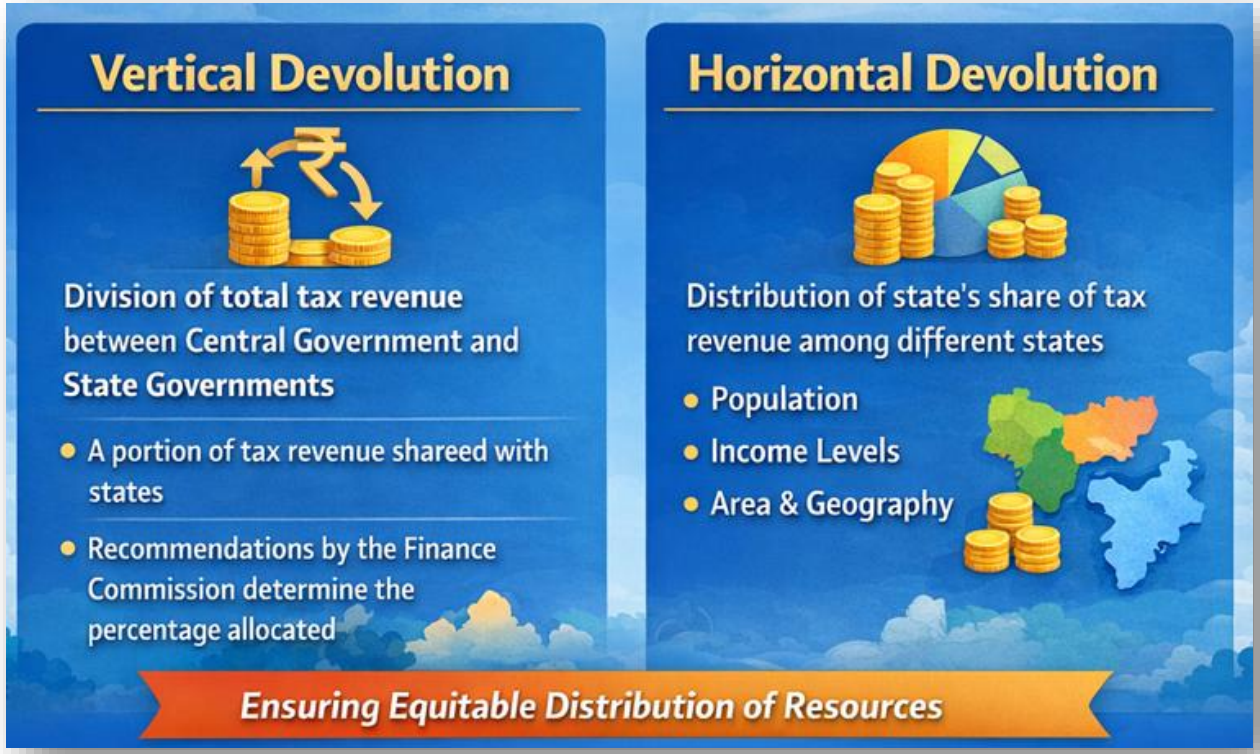
Vertical Transfer

These are the transfers of resources from the central government to all the state governments collectively.

Horizontal Transfer

Once the total share for states is determined through vertical transfers, horizontal transfers decide how this share is distributed among individual states.

This distribution is based on **various criteria like population, income distance, area, forest cover, and demographic performance among others.**



16th Finance Commission (FC)



Dr. Arvind Panagariya

Chairman of the 16th Finance Commission of India

Terms of Reference for the Sixteenth Finance Commission:

The Finance Commission shall make recommendations as to the following matters, namely:

1. **The distribution between the Union and the States of the net proceeds of taxes which are to be, or may be, divided between them and the allocation between the States of the respective shares of such proceeds;**
2. **The principles which should govern the grants-in-aid of the revenues of the States out of the Consolidated Fund of India and the sums to be paid to the States by way of grants-in-aid**
3. **The measures needed to augment the Consolidated Fund of a State to supplement the resources of the Panchayats and Municipalities in the State** on the basis of recommendations made by the state finance commission.

The **Constitution empowers** the FC to go beyond the core issues of how to divide taxes vertically between centre and the states on the one hand and horizontally between states on the other.

- It also allows FC to make **broader recommendations in the interests of sound finance**.

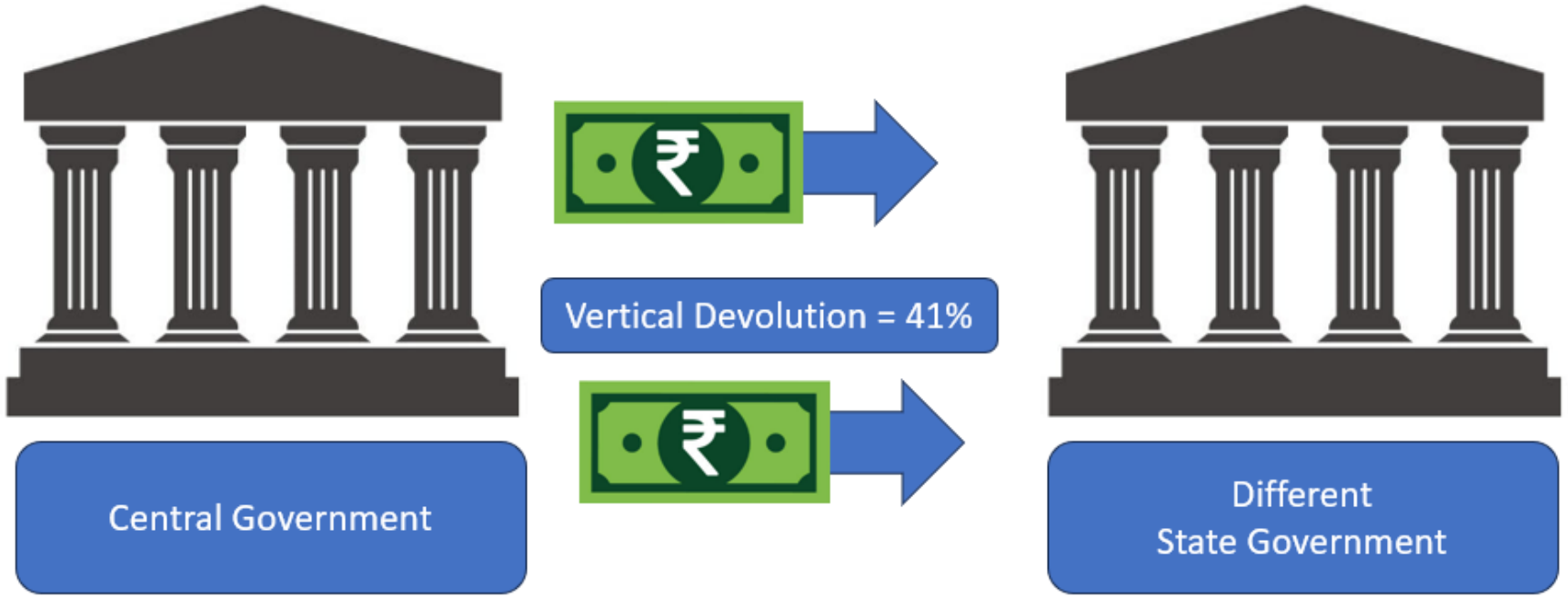
EduTap

www.edutap.in hello@edutap.co.in +91 81462-07241

Share of states in central taxes

The share of states in the central taxes is recommended at 41%, same as recommended by the 15th FC.

Divisible pool is arrived at after excluding cost of collection and cesses and surcharges from the gross tax revenue collected by the central government.



www.edutap.in hello@edutap.co.in +91 81462-07241

16th Finance Commission

Table 8.8 Formula for Horizontal Devolution

Criteria	Weight (percentage)
Population (2011)	17.5
Demographic Performance	10
Area	10
Forest	10
Per Capita GSDP Distance	42.5
Contribution to GDP	10
Total	100

- First, identify the top three States in per-capita GSDP.
- Goa and Sikkim are excluded from this calculation.
- Take the average per-capita GSDP of these top three States — this becomes the benchmark.
- Take the distance of the fourth-highest per capita GSDP State from this average → assign this same distance to all four highest per capita GSDP States, Goa and Sikkim.
- For all remaining States, calculate their actual gap from the benchmark average.
- Per-capita devolution is decided in proportion to this gap:
- Larger gap from the benchmark → higher devolution
- Smaller gap → lower devolution

EduTap

www.edutap.in hello@edutap.co.in +91 81462-07241

16th Finance Commission

Table 1: Criteria for distribution of central taxes among states

Criteria	15th FC (2021-26)	16th FC (2026-31)
Income Distance	45%	42.5%
Population (2011)	15%	17.5%
Demographic Performance	12.5%	10%
Area	15%	10%
Forest	10%	10%
Tax and Fiscal Efforts	2.5%	-
Contribution to GDP	-	10%
Total	**100%**	**100%**

Sources: Reports of the 15th and 16th Finance Commissions; PRS.

Per Capita GSDP Distance (Income Distance): The 16th FC has defined income distance as the difference between the per capita GSDP of a state and the average of the per capita GSDP of the top three large states with the highest per capita GSDP. Per capita GSDP has been computed as the average over the period 2018-19 and 2023-24, excluding the pandemic year of 2020-21. States with a lower per capita GSDP will receive a higher share on this parameter, to maintain equity among states.

Demographic Performance: The 15th FC had introduced this parameter to award states for controlling population on the basis of Total Fertility Rate (TFR). The 16th FC has redefined this to account for population growth between 1971 and 2011 instead of relying on change in TFR. States with lower population growth will have a higher share under this parameter.

www.edutap.in hello@edutap.co.in +91 81462-07241

16th Finance Commission

Table 8.8 Formula for Horizontal Devolution

Criteria	Weight (percentage)
Population (2011)	17.5
Demographic Performance	10
Area	10
Forest	10
Per Capita GSDP Distance	42.5
Contribution to GDP	10
Total	100

Forest - combined the share of forest area of the State in the forest area of all States and the share of increase in forest area of the State in the increase in forest area of all States in the ratio of 80:20 to arrive at the forest variable. For this purpose, the increase is calculated from 2015 to 2023.

Contribution to GDP is a new criterion introduced in recognition of India's growth ambition.

The State's contribution to GDP is defined by the share of its GSDP in all States' GSDP. contribution to GDP serves as a surrogate for efficiency-based criteria such as tax effort and fiscal discipline.

EduTap

www.edutap.in hello@edutap.co.in +91 81462-07241

16th Finance Commission

The 16th FC has recommended grants worth Rs 9.47 lakh crore over the five-year period. These comprise grants for:

(i) urban and rural local bodies, and

(ii) disaster management.

The 16th FC has discontinued the following grants recommended by the 15th FC:

(i) revenue deficit grants,

(ii) sector-specific grants, and

(iii) state-specific grants.

Table 2: Grants-in-aid for 2026-31 (in Rs crore)

Grants	Amount
Local governments	**7,91,493**
Rural local bodies	***4,35,236***
Basic Grant	*3,48,188*
Performance Grant	*87,048*
Urban local bodies	***3,56,257***
Basic Grant	*2,32,125*
Performance Grant	*58,032*
Special Infrastructure Component	*56,100*
Urbanisation Premium	*10,000*
Disaster management	**1,55,916**
Total	**9,47,409**

Source: Report of the 16th Finance Commission; PRS.

Grants for Local Bodies:

Out of the amount, ₹56,100 crore for a special infrastructure component and ₹10,000 crore for urbanisation premium is allocated.

The amount is allocated to RLBs and ULBs in 60:40 ratio. RLBs and ULBs grants are divided into basic (80%) and performance-based (20%) components

All local body grants will be made available upon fulfilment of three entry-level criteria:

- constitution of the local bodies as per the Constitution,
- publication of provisional and audited accounts of the local bodies in the public domain,
- timely constitution of the State Finance Commission.

Table 2: Grants-in-aid for 2026-31 (in Rs crore)

Grants	Amount
Local governments	**7,91,493**
Rural local bodies	***4,35,236***
Basic Grant	*3,48,188*
Performance Grant	*87,048*
Urban local bodies	***3,56,257***
Basic Grant	*2,32,125*
Performance Grant	*58,032*
Special Infrastructure Component	*56,100*
Urbanisation Premium	*10,000*
Disaster management	**1,55,916**
Total	**9,47,409**

Source: Report of the 16th Finance Commission; PRS.

Online availability in public domain in year T of audited accounts for all ULBs and RLBs of a State for the T-2 fiscal year and provisional accounts for the T-1 year would be the second entry-level condition to avail local body grants for the year T.

EduTap

www.edutap.in hello@edutap.co.in +91 81462-07241

Grants for local bodies:

Basic grants: 50% of the basic grant will be untied and the rest 50% will be tied to: (i) sanitation and solid waste management, and/or (ii) water management.

Performance grants: These grants for local bodies are further divided into state performance grants and local body performance grants. State performance grants will be made available upon meeting a minimum benchmark for transfers to local bodies from their own resources. Local body performance grants are linked to achievement of minimum targets specified by the Commission for own source revenue growth.

Table 2: Grants-in-aid for 2026-31 (in Rs crore)

Grants	Amount
Local governments	**7,91,493**
Rural local bodies	***4,35,236***
Basic Grant	*3,48,188*
Performance Grant	*87,048*
Urban local bodies	***3,56,257***
Basic Grant	*2,32,125*
Performance Grant	*58,032*
Special Infrastructure Component	*56,100*
Urbanisation Premium	*10,000*
Disaster management	**1,55,916**
Total	**9,47,409**

Source: Report of the 16th Finance Commission; PRS.

Grants for local bodies:

Special infrastructure grants for selected ULBs will be tied to the development of a comprehensive wastewater management system in cities with populations less than 40 lakh but more than 10 lakh, as per the 2011 Census, limited to two per State.

Urbanisation premium grant: These will be released to states as a one-time grant for: (i) merger of peri-urban villages into an adjoining larger ULB with an existing population of not less than one lakh and (ii) formulation of a Rural to Urban Transition Policy.

Table 2: Grants-in-aid for 2026-31 (in Rs crore)

Grants	Amount
Local governments	**7,91,493**
Rural local bodies	***4,35,236***
Basic Grant	*3,48,188*
Performance Grant	*87,048*
Urban local bodies	***3,56,257***
Basic Grant	*2,32,125*
Performance Grant	*58,032*
Special Infrastructure Component	*56,100*
Urbanisation Premium	*10,000*
Disaster management	**1,55,916**
Total	**9,47,409**

Source: Report of the 16th Finance Commission; PRS.

EduTap

www.edutap.in hello@edutap.co.in +91 81462-07241

Grants for local bodies:

Disaster management grants: The Commission has recommended disaster management corpus of Rs 2,04,401 crore for State Disaster Relief and Management Funds (SDRF and SDMF) for the period 2026-27 to 2030-31.

The funds meant for the States shall continue to be divided between SDRF and SDMF in the ratio of 80:20. A total of ₹1,63,521 crore is recommended for SDRF and ₹40,880 crore for SDMF.

The cost-sharing pattern between the centre and states is recommended to be: (i) 90:10 for north-eastern and Himalayan states, and (ii) 75:25 for all other states. Centre's share in total will be Rs 1,55,916 crore.

A provision was made for a 5 per cent increase every year for annual allocation during our award period.

Table 2: Grants-in-aid for 2026-31 (in Rs crore)

Grants	Amount
Local governments	**7,91,493**
Rural local bodies	***4,35,236***
Basic Grant	*3,48,188*
Performance Grant	*87,048*
Urban local bodies	***3,56,257***
Basic Grant	*2,32,125*
Performance Grant	*58,032*
Special Infrastructure Component	*56,100*
Urbanisation Premium	*10,000*
Disaster management	**1,55,916**
Total	**9,47,409**

Source: Report of the 16th Finance Commission; PRS.

EduTap

www.edutap.in hello@edutap.co.in +91 81462-07241

Fiscal Roadmap

The Commission has recommended that the Centre should bring down **fiscal deficit to 3.5% of GDP by 2030-31.**
It recommended States' fiscal deficits continue to be capped at 3 per cent of their respective GSDP**.**

It also recommended **strictly discontinuing the practice of off-budget borrowings** for states and bringing all such borrowings onto their budgets. The definition of fiscal deficit and debt should be expanded to uniformly include all off-budget borrowings.

The Commission has projected the combined debt of the central and state governments to **decline from 77.3% in 2026-27 to 73.1% of the GDP in 2030-31.**

EduTap

www.edutap.in hello@edutap.co.in +91 81462-07241

Power-sector reforms

The Commission recommended that states should actively pursue privatisation of electricity distribution companies (DISCOMs). To shield the private investor from debt burden after discom takeover, a special purpose vehicle may be created to warehouse the debt. Pre-payment or eventual repayment of this debt may be allowed using the funds from the Special Assistance Scheme for Capital Investment. It also recommended that states should be allowed to utilise this assistance only after the privatisation process is complete.

Public Sector Enterprise Reforms

The Commission recommended a review and closure of 308 inactive State Public Sector Enterprises (SPSEs). It recommended formulation of a state-level PSEs disinvestment policy to target inactive and underperforming SPSEs.

State or union PSEs, which incur losses for three out of four consecutive years, should be placed for the respective Cabinet's consideration. The Cabinet may decide closure, privatisation, or continuation depending on the strategic importance of the enterprise.

Subsidy Expenditure

The Commission recommended states to review and rationalise their subsidy expenditure. It noted that schemes providing unconditional cash transfers tend to have large and untargeted beneficiaries. It recommended setting clear exclusion criteria and a rigorous review process to ensure effective targeting. In addition, it recommended discontinuing financing of subsidies through off budget borrowings.

The Commission also noted a lack of standardisation in defining and accounting of subsidies and transfers across states. It observed that subsidies and transfers across states are being misclassified as assistance, grants, or other expenditure. It recommended adoption of a uniform approach for accounting and disclosure of subsidies and transfers.

EduTap

PRS LEGISLATIVE RESEARCH PRS

www.edutap.in hello@edutap.co.in +91 81462-07241

EduTap

THANKS
FOR WATCHING

